

INDIAN ECONOMY

LEVEL
II



LECTURES

- PM FASAL BIMA YOJANA
- REGRESSIVE FERTILISER SUBSIDY

MODULE - 59



PRADHAN MANTRI FASAL BIMA YOJANA ... SALIENT POINTS



सत्यमेव जयते

Prior to the launch of PMFBY, insurance was available for around 23% of the crop land.



- 1 Under the Pradhan Mantri Fasal Bima Yojana (PMFBY), the farmer pays 2% of the Sum Insured (SI) for all Kharif crops and 1.5% of SI for all Rabi crops and it is 5% for horticulture and commercial crops. The balance premium is shared equally by the Centre and State Governments.
- 2 It covers additionally for post-harvest losses for cyclonic and unseasonal rains.
- 3 Insured area prevented from sowing / planting / germination due to deficit rainfall as well as adverse seasonal / weather conditions are also covered.
- 4 Comprehensive risk insurance is provided to cover yield losses due to non-preventable risks, like drought, dry spell, flood, inundation etc.

PRADHAN MANTRI FASAL BIMA YOJANA ... CHANGES MADE TO THE ORIGINAL SCHEME IN 2020

5 The Centre decided to limit the PMFBY premium rates to a maximum of 30% in unirrigated and 25% in irrigated areas.

4 State Government will not be allowed to operate the scheme, if its share of premium subsidy is not released before March 31 for Kharif season and September 30 for Rabi season.



HAVE CLARITY
ABOUT THE
SUBSEQUENT
CHANGES!



1 The crop insurance scheme is made optional for both agricultural loanee and non-loanee farmers from Kharif 2020.

2 As per the new scheme, farmer can pick and choose the risk cover, according to one's need.

3 The allocation of business to insurance companies will be for a period of 3 years and those showing outstanding performance will get extra points, based on which the period can be extended.

It uses the village panchayat as the insurance unit to capture the losses accurately.

MOST IMPORTANT DECISION

- Central Subsidy under PMFBY to be limited up to a maximum premium of 30% of SI for unirrigated areas and 25% for irrigated areas.
- There are around 40 districts in the country, mainly in Gujarat and Rajasthan, where PMFBY premium rates were beyond 30%.



WHAT DOES THIS MEAN?

- Let the Sum Insured be Rs. 1,00,000. Let us assume the rate of premium as 40%.
- The Centre will give subsidy for premium rates up to 30% (rain-fed).
- Hence, from the Kharif 2020 season, as per the present example, the Centre will pay premium at the rate of 14% (out of 30%, the farmer's share is 2%, and the Centre's and State's 14% each) instead of the 19% it paid (out of 40%) in the Kharif season of 2019.
- The State has to bear the entire burden of the premium subsidy beyond the threshold of 30%.



PRADHAN MANTRI FASAL BIMA YOJANA ... CHANGES MADE TO THE ORIGINAL SCHEME IN 2020



HAVE CLARITY
ABOUT THE
SUBSEQUENT
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6 Crop Cutting Experiments (CCEs) will **not** be **mandatory** for crop estimation.

7 Only those areas, where there is deviation from normal ranges will be subjected to **CCEs** for **assessing yield loss**. Those areas falling in normal ranges will be assessed using **weather and satellite indicators**. Even in the case of CCEs, smart sampling techniques and optimisation of number of CCEs will be adopted.



WHY THE STATES GRADUALLY LOST INTEREST IN PMFBY?

- There have been irregularities in the PMFBY.
- There were disputes with regard to crop cutting experiments, which are used for assessing the loss.
- There were cases of manipulation of data by the interested parties.
- Premium rates were high in certain pockets and this can be due to the manipulation of data by state governments to help farmers to get higher compensation.

Co-ordinated action between Centre and the States is missing!

HAVE A GLANCE AT THE STATISTICS ABOUT THE FERTILIZER USAGE IN 2019-20!

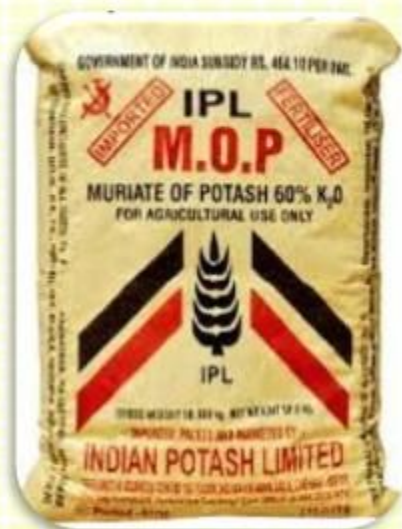
- In 2019-20, fertilizer usage per hectare of cultivated area varied from 70 kg of NPK in Rajasthan to 250 kg in Telangana. This gap was much wider at the district level.
- NPK ratio deviated considerably from the optimal NPK mix. It was 34:8:1 in Punjab and 1.3:0.7:1 in Kerala.
- The total demand for urea in the country is about 34-35 million tonnes, whereas the domestic production is about 25 million tonnes. The requirement of DAP is about 12 million tonnes and the domestic production is just around 5 million tonnes.
- The gap of nearly 10 million tonnes for urea and 7 million tonnes for DAP is met through imports.

- The use of Muriate of Potash is about 3 million tonnes. This is entirely imported.
- Consumption of complex fertilizers (NPK) is about 13 million tonnes, which is largely produced within the country and so the import requirement is only 1 million tonne.



OVERALL IMPORT DEPENDENCE AT A GLANCE

S.NO	NAME OF FERTILIZER	TOTAL REQUIREMENT	DOMESTIC PRODUCTION	QUANTITY IMPORTED	IMPORT % TO TOTAL REQUIREMENT
1	Muriate of Potash	3MT	ALMOST NIL	3MT	100%
2	DAP	12MT	5MT	7MT	60%
3	Urea	35MT	25MT	10MT	30%
4	NPK	13MT	12MT	1MT	10%
	TOTAL	63MT	42MT	21MT	AROUND 30% - 35%





SUBSIDY REFORMS OF 2010 DOES NOT INCLUDE UREA!

- The government introduced the Nutrient Based Subsidy (NBS) in 2010 to address the growing imbalance in fertilizer use in many States.
- However, only non-nitrogenous fertilizers (P and K) moved to NBS, urea was left out.

THE ORIGIN OF SKEWED FERTILIZER USAGE GOES BACK TO 1991!

- The Economic Survey of 1991-92 noted that the fertilizer prices remained almost unchanged from 1981 to 1991.
- Union Budget raised the fertilizer prices by 40% in July 1991, but in August reduced to 30%.
- However, Urea price was rolled back to 17%, a year later. Due to this, the ratio of the use of N:P:K increased from 5.9:2.4:1 in 1991-92 to 9.7:2.9:1 in 1993-94.

Normally, farmers try to balance the usage to get more output, but the skewed fertilizer subsidy tilted the scales in favour of urea since 1991!

1

UREA

- The MRP of neem coated Urea (which is mandatory) is fixed by the Government and at present, it is Rs. 5,922 per tonne, inclusive of all taxes and neem coating charges.
- The average cost-plus price payable to domestic manufacturers comes to around Rs. 15,000 to 20,000 per tonne. For imports, it costs around Rs. 20,000 to 25,000. Beyond Rs. 5,922, it is paid by the Centre as subsidy.
- Hence, fertilizer subsidy is given directly to the fertilizer companies.
- To conclude, Urea is the fertilizer with pricing and distribution controlled statutorily by the Government. No one can sell urea above the MRP declared by the Government.

It is incidental to note that the ideal Nitrogen, Phosphorus and Potassium (NPK) mix should be 4:2:1. In 2010-11, it was 4.7:2.3:1. It worsened to 6.3:2.5:1 by 2018-19.



The bad fertilizer mix is harmful for both the soil and environment in the long run, and a decline in soil fertility will also raise input costs.

FOR UREA ... FARMER PAYS ONLY 22% AND TAXPAYER BEARS 78% (THE SKEW REACHED 11% - 89% IN THE CONTEXT OF UKRAINE CONFLICT, AS PER THE GOVERNMENT)!

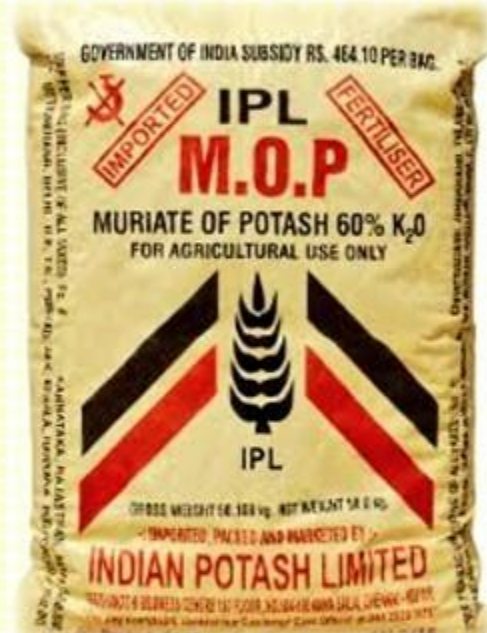
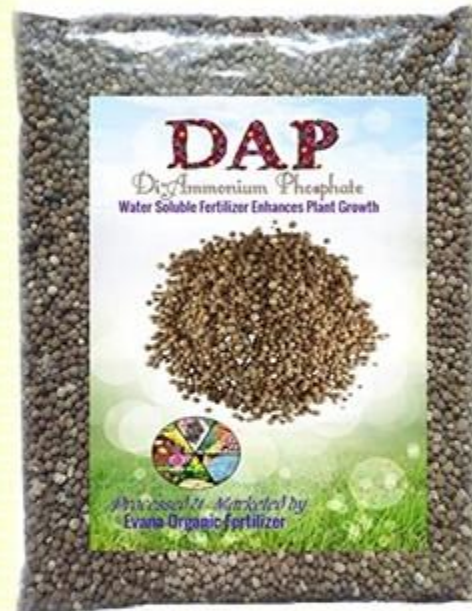


- At the current prices, farmers pay about Rs.266.50 per bag of urea (45kg), inclusive of all incidentals. Taxpayers bear 78% of the cost of urea and farmers pay just 22%. This skew further increased in the context of Ukraine conflict.
- In the last 20 years, the price of urea has increased to Rs.5.36 per kg in 2021 (exclusive of neem coating charges and taxes applicable) from Rs.4.60 in 2001. This is an increase of just around 22% in 20 years. In contrast, the Minimum Support Price of paddy increased by 280% and that of wheat by 230% during same period.
- In 2001, 38 kg of wheat was required to buy one bag of urea and now just 13kg of wheat is required to buy one bag of urea!

2

OTHER FERTILISERS

- MRP for other fertilizers, which includes Diammonium Phosphate (DAP), Muriate of Potash (MOP), is not declared by the Government.
- The Government only gives a fixed per tonne subsidy. Here, the subsidy is fixed, while the MRPs are variable.
- Hence, fertilizer companies are free to fix the market prices for fertilizers other than Urea.
- Fertilizer subsidies come under the amber box category in WTO parlance.



However, the subsidy component to the companies would happen only after actual sales to the farmers by the retailers.

FOUR-PRONGED STRATEGY SUGGESTED TO COME OUT OF THIS SKEWED POLICY

1

SELF RELIANCE

- We need to be self-reliant and not depend on import of fertilizers.
- This way we can escape the vagaries of high volatility in international prices.
- Five urea plants at Gorakhpur, Sindri, Barauni, Talcher and Ramagundam are being revived in the public sector.



2

EXTEND NBS TO UREA

- We need to extend the NBS model to urea and allow price rationalisation of urea compared to non-nitrogenous fertilizers and prices of crops.
- At present all price increase for urea is being absorbed through subsidy..



FOUR-PRONGED STRATEGY SUGGESTED TO COME OUT OF THIS SKEWED POLICY

3

ALTERNATE SOURCES OF NUTRITION TO BE EXPLORED

- One suggestion is to bring parity in the prices and subsidy given to chemical fertilizers, with organic and bio-fertilizers.
- This provides the scope to use a large biomass of crop that goes waste and also enhances the value of livestock byproducts. Though compost contains low amounts of nitrogen, technologies are now available to enrich this.



4

IMPROVING FERTILIZER USE EFFICIENCY

- In India, Nitrogen use efficiency hovers around 30%. Now, we should look at improving the fertilizer efficiency through need-based use rather than broadcasting fertilizer in the field.
- The recently developed Nano urea by IFFCO shows promising results in reducing the usage of urea.



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